

Apple Inc.

AAPL — Q3 FY2025 Earnings Call Transcript (Illustrative, Condensed)

Call held July 2025

Speakers: Chief Executive Officer, Chief Financial Officer

Q&A; Participants: institutional equity research analysts (fictional, for demo purposes only)

Prepared Remarks (Condensed)

The Chief Executive Officer said Apple Intelligence adoption trends were tracking in line with internal expectations and highlighted Services as an increasingly central part of the Company's growth story. The Chief Financial Officer noted gross margin expansion driven by Services mix and said the Company remained committed to returning capital to shareholders through dividends and buybacks.

Analyst Q&A; Session

Analyst, Meridian Capital Research

Are you seeing evidence that Apple Intelligence is driving incremental iPhone upgrades, or mainly retaining the existing base?

Response: Early data suggests a modest positive effect on upgrade rates among users with older devices, but it remains too early in the feature rollout to fully separate that effect from normal replacement-cycle dynamics.

Analyst, Highland Partners Equity Research

How are you thinking about App Store regulatory changes and their effect on Services margin going forward?

Response: The Company is complying with applicable regulatory rulings in each jurisdiction while continuing to believe its App Store model provides value to developers and customers; a specific margin impact from pending regulatory changes was not quantified.

Analyst, Brightwater Securities

What is driving the sequential improvement in Greater China trends?

Response: A stronger product lineup and improving macro conditions in the region contributed to the improvement, while competitive intensity from domestic manufacturers remains a factor the Company continues to monitor closely.

Analyst, Cordero & Vance Research

Can you talk about gross margin durability in Services as regulatory and App Store dynamics evolve?

Response: Services gross margin has remained resilient, supported by growth in higher-margin categories such as advertising and subscriptions, which management said helps offset some of the pressure from evolving App Store commission structures in certain markets.

Analyst, Northfield Global Markets

How should we think about Mac and iPad performance given they've been roughly flat for several quarters?

Response: Mac and iPad performance reflects a maturing upgrade cycle in those categories following strong prior-year comparisons; management said it continues to view both product lines as important parts of the broader Apple ecosystem rather than standalone growth drivers.